KZ PERSPECTIVES | 07

The Local Exception Trap

When market differences create value—and when they become an excuse to resist change.

Think Global, Act Local

Few phrases are used more often in international business. And for good reason: customers, competitors, regulations and routes to market can differ substantially from one country to another. A global strategy that ignores those differences is unlikely to succeed.

Yet the phrase can also give every country organization a reason to continue doing things its own way. A request to retain a product, process or system may reflect a genuine market need. It may equally reflect familiarity, a desire for autonomy or reluctance to change.

The leadership challenge is to tell the difference.

Local adaptation—or a convenient excuse?

A country team may know something that a global team cannot see from headquarters. It may understand why a product needs adjusting, why a customer expects a different service model or why a particular route to market works.

That knowledge is valuable. But "our market is different" is not, by itself, a reason to make an exception. **Every exception has a cost**: more complexity, duplicated work, less scale and often a slower path to change.

The question is therefore not whether markets differ. Of course they do. It is whether a specific difference justifies a different approach.

Making the decision

When a local exception is proposed, I would ask a few practical questions:

- What specific customer, commercial or regulatory need does it address?
- What evidence shows that the global approach would fall short?
- What value would the exception create?
- What complexity or cost would it add for the wider business?
- Could the same result be achieved while keeping the common approach?

These questions do not produce a perfect formula. They do, however, move the discussion beyond competing assertions of global authority and local expertise.

From Independence to Interdependence

The quality of that discussion also depends on how leaders see their role. I remember a way of describing professional growth in one of my former businesses. People often begin by being ***dependent***: they look to their manager for direction. With experience, managers become ***independent***: they know their business, make decisions and take ownership.

That independence is an achievement. But it can also become a limit when leaders begin to see their territory as something to defend.

The next step is ***interdependence***. Leaders remain accountable for their own business, while recognizing that they can create more value by working across boundaries. They are willing to share what works, adopt ideas from elsewhere and accept a common approach when it benefits the wider organization.

This is where global–local decisions often succeed or fail. A leader focused only on local results may see standardization as a loss of control. A leader focused only on global consistency may overlook a real market opportunity. Both need **the judgment to look beyond their immediate territory**.

The real test

The best answer is rarely “everything global” or “everything local.” It is a deliberate choice about where consistency creates value and where adaptation creates more.

Local knowledge should shape global decisions - Global scale should challenge local habits. And any exception should be supported by a clear reason that stands up to scrutiny.

Perhaps the most useful questions for leaders is this:

- What would our local business lose by adopting the global approach?
- And what does the wider business lose if we make an exception?